

RUNNING HEAD: Harmonizing Work and Higher Education: Analysis of the Circular Flow of Income in the Philippine Setting

Harmonizing Work and Higher Education: Analysis of the Circular Flow of Income in the Philippine Setting

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ABSTRACT:

This study focuses on how working professionals' investments in higher education affect economic dynamics as it examines the complex relationship between higher education and the circular flow of income in the Philippine context. Using the preferred reporting items for Systematic Reviews and Meta-Analyses (PRISMA) methodology, the systematic literature review approach employed and evaluated contemporary academic articles and empirical investigations from 2018 onwards to provide a thorough and organized analysis. The study emphasizes how higher education can improve one's own financial security while also fostering more economic growth through improved investment, saving, and consumption patterns. The results show that greater levels of education promote improved finances and economic engagement, which in turn maintains the circular flow of income and increases the resilience of the national economy. The study emphasizes the value of curriculum that support working professionals' educational advancement, such as Outcomes-Based Education (OBBE) and Output Based Teaching and Learning (OBTL), as a tactical way to lessen economic inequality and advance sustainable economic development in the Philippines.

Keywords: Circular Flow of Income, Economic Development, Higher Education, Income Inequality, Philippine Economy, Professional Development

INTRODUCTION

The study titled "Harmonizing Work and Higher Education: Analysis of the Circular Flow of Income" is situated within the broader field of applied economics, focusing on the relationship between economic activity and educational attainment. Analyzing data from 1973 to 2012, Qazi et al. (2018) demonstrated that developments in Pakistan's higher education system have contributed to significant reductions in income inequality, underscoring the role of higher education as a catalyst for equitable economic distribution. Additionally, in Taiwan, it has been observed that their economy developed due to the role of higher education as stated in the study of Lin (2004). This research intersects macroeconomic and microeconomic analyses to highlight how educational investments in human capital can influence broader economic conditions. It notes that individuals in highly unequal societies struggle to meet basic needs, impacting business growth due to decreased consumer spending. The study also integrates economic perspectives with societal, national, and global systems, as discussed by Raworth (2017), to explore how higher education affects the economic decisions of individuals and overall economic dynamics. By examining the modification of the circular flow of income through education, the research provides insights into the pivotal role of higher education in fostering economic development and addressing income disparities.

The current study investigates the motivations and financial outcomes for working professionals pursuing higher education while maintaining their jobs, focusing on how this affects income inequality, skill development, and labor market participation. This topic is critical as it delves into the reasons behind educational investments and the consequent changes in personal financial management, examining how these decisions influence the circular flow of income. Key findings from previous research, like those by Prettnner and Schaefer (2020), reveal a U-shaped pattern of income inequality influenced by inheritance and investment in education across different social classes, which highlights the complex interplay between higher education and income disparity. Furthermore, Suhendra et al. (2020) explored how various economic factors including government and private investment, and macroeconomic indicators like economic growth and inflation, impact human capital and inequality in Indonesia. This study aims to elucidate the economic behaviors of working students, such as income generation, savings, and spending, and assess how these behaviors support ongoing professional development and reflect broader economic dynamics.

The circular flow of income is a key concept for knowing how an economy works and what effects it has on working students enrolled under higher education. These students often work in, buy things from, and maybe even start their own businesses at the same time, which gives people a unique look at how income changes over time. There are studies conducted in the Philippines that focuses on the application of theories and skills learned by people with higher education and their roles in the circular flow of income such as the study on circular flow of income in the Barangay Micro Business Enterprises conducted by Sepino and Garcia-Vigonte (2022) and the study of Micabalo et al., 2020 entitled realization of master's program outcome in a Philippine University which gives importance to the Outcome-Based Teaching and Learning (OBTL) curriculum. Japee and Oza (2021) also emphasized that Outcome Based Education (OBE) is considered as an enhancement for education in the world as it focuses on measuring

students' performance. Further, Ilagan et al. (2024) studied how technological progress has changed the way households, firms, product markets, and factor markets normally deal with each other in the economy. Most people in a highly unequal society find it difficult to cover their fundamental necessities, which results in little money left over for discretionary purchases. The precise same picture, a circular flow model linking households and businesses is used by classical economics, according to Ross (2019), to shed light on how the economy works (Capa et al., 2023). Miguel et al. (2018) noted in their investigation that one means that contributes to achieving the dual objectives of accelerating economic growth and offering widespread rewards or inclusive growth is investing in human capital, especially higher education, as indicated by Canlas (2016). Their study found a significant correlation between income inequality in the Philippines and tax revenue, GDP per capita, and educational expenditure. Findings of the study showcased that due to the low percentage of students and graduates in higher and scientific education in the Philippines (Miguel et al., 2018). Patwa et al. 's study (2021) focuses on how they are adopting circular economy principles, which show how important it is to use sustainable business practices. This study focuses on how customer behavior and the acceptance of remanufactured goods and services play a big role in keeping the circular flow of income going. To keep the flow of money going, economic activities should continue but a simple lockdown like covid 19 can disrupt the circular flow of income as explained by Inegbedion (2021). On the other hand, Shuaib A. Balroo and Ali A. Al-Duwaile (2018) studied how working MBA students in Saudi Arabia handle work, life, and learning, and how that affects their happiness and productivity. If there isn't enough balance, it can affect how well income is used and made, which has a direct effect on the flow of income. According to their research, having a better balance makes people more productive and happier.

The researchers are motivated to conduct this type of study because they want to analyze how young Filipino professionals harmonize work and study by investing in study-related investments like enrolling in a higher education program. In the circular flow of income in the Philippine Setting, people often invest their capital in a stock market / FOREX and they use the dividends to avail the goods and services of a firm. However, there are people who invest in their education by enrolling in a masteral, doctoral and certification programs here in the Philippines and abroad. Thus, the researchers want to explore what drives them to invest in their studies and what will it do in their role in the circular flow of income.

The primary objective of the study is to determine how young professionals integrate work and study and their role in the circular flow of income in the Philippine Setting. Through a systematic review approach, it aims to identify what drives the young professionals to invest in higher education programs, given the influence of the economic factors like inflation, income, expenditures, etc. and will these give impact on their roles in the circular flow of income. Specifically, it aims to answer the following questions:

1. To what extent can the work of Filipino professionals be described?
2. To what extent can the level of higher education among Filipino professionals in the modern workforce be described?
3. To what extent can the Circular Flow of Income in the Philippine setting be analyzed?
4. What specific or tangible output can be proposed based on the results of the study?

This study investigates why working professionals pursue higher education and the financial benefits it entails, particularly highlighting how it can lead to higher incomes. By detailing the connections between higher education and financial behaviors such as saving and spending, the study's findings demonstrate that advanced education often results in increased income. This boost in earnings not only enhances individual financial stability but also intensifies their contributions to the circular flow of income, ultimately supporting economic growth and lessening income inequality. Furthermore, the research offers valuable insights for policymakers and educators on the economic advantages of investing in higher education. As working professionals elevate their income levels through advanced studies, they play a pivotal role in reducing economic disparities. Encouraging and facilitating access to higher education for working professionals emerges as a strategic approach to cultivating a more equitable and thriving economy.

METHODOLOGY

This literature review on Harmonizing Work and Higher Education: Analysis of the Circular Flow of Income in the Philippine Setting was conducted using a systematic approach. The researchers focused on the studies related to the circular flow of income and the use of OBTL curriculum. The utilization of reliable academic databases such as Google Scholar and ssrn.com was conducted to identify studies and literature pertaining to the study. The systematic review focused on harmonizing work and higher education and the circular flow of income in the Philippines. To ensure a reliable and conscientious approach to the systematic review process, the Preferred Reporting Items for Systematic Reviews and Meta-Analyses (PRISMA) framework will be utilized. This framework helped the researchers to filter literature reviews, scholarly journals and academic studies related to their topic.

The research strategy was further refined by conducting targeted searches in specific academic databases to locate pertinent articles that discuss the impact of higher education on economic patterns within the Philippine context. Keywords related to economic impact, such as "economic growth", "income distribution", and "professional development", were used to identify relevant studies. This approach ensured a focused and relevant collection of data, enhancing the depth of the literature review. Each identified article underwent a rigorous screening process to confirm its direct relevance and contribution to our understanding of how higher education can influence economic conditions, particularly in a developing country setting like the Philippines.

Inclusion Criteria:

The inclusion criteria for the literature review included studies about higher education and circular flow of income that were published from 2017 up to the present. Local literature publications were given priority since the researchers' focus is on the circular flow of income in the Philippine setting. Various academic papers were considered such as academic articles, research studies, dissertation, literature reviews and journal articles to determine the impact of higher education on the economic activity of the Philippines.

Exclusion Criteria:

Exclusion criteria are those with outdated literature, particularly publications from the year 2017 and earlier, which are not considered to ensure a focus on recent developments. Studies from international contexts are also excluded to concentrate on the local Philippine setting. Moreover, publications not in English are omitted to prevent language barriers from affecting data interpretation. This set of criteria is established to refine the research scope, allowing for a focused examination of the relationship between higher education and economic activity in the Philippines.

PRISMA Diagram

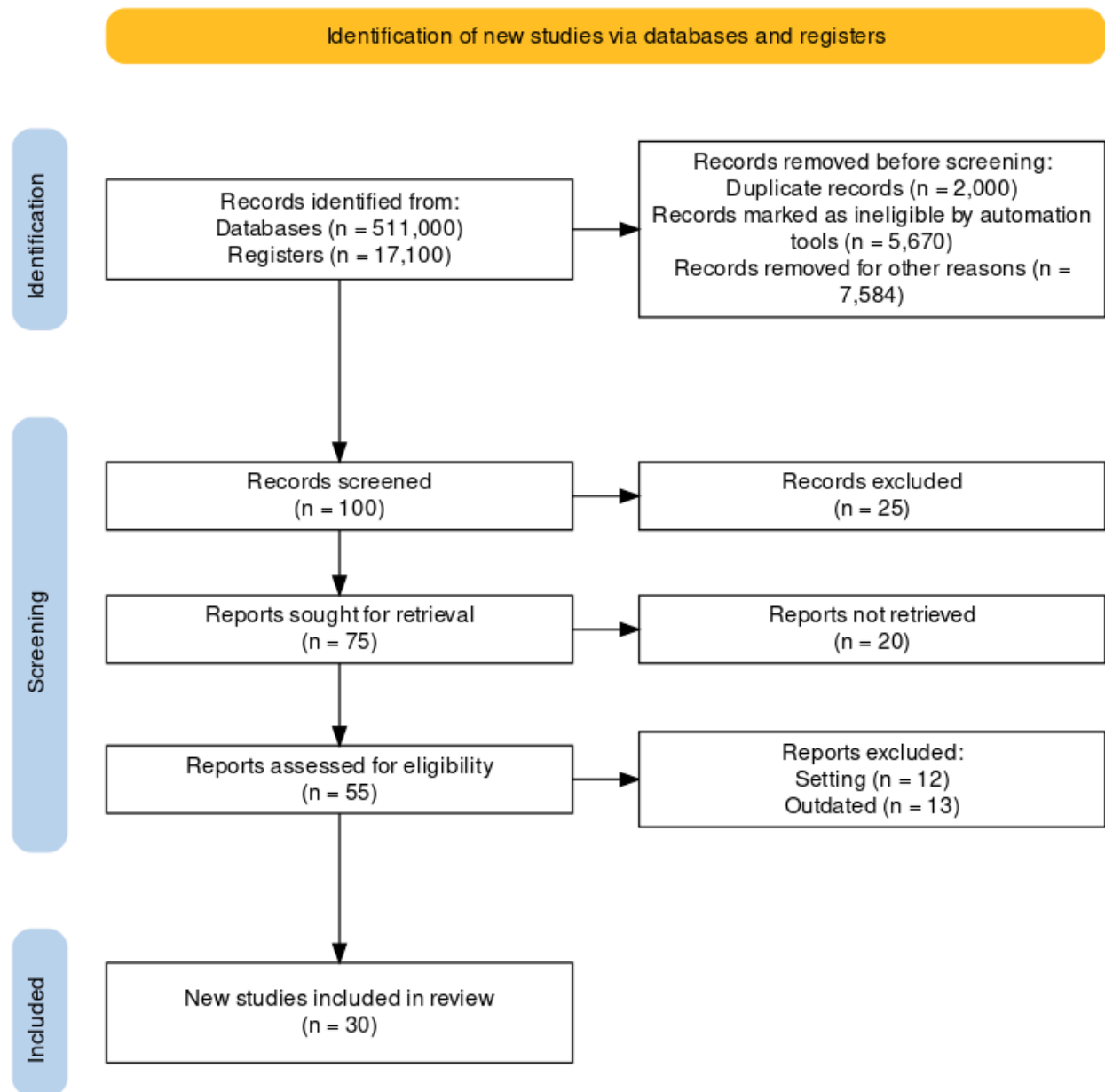


Figure 1. PRISMA Diagram
Source: Haddaway et al., 2022

PRISMA Generator: https://estech.shinyapps.io/prisma_flowdiagram/

RESULTS AND DISCUSSION

Profession

Graduate studies give numerous opportunities to employees who want to develop their personal growth and improve their performance .

Having an advanced degree is advantageous to people who want to seek promotion especially in the government sector. This serves as an edge for those who seek higher salary grades or positions.

In the study of Encio et. al (2018), they examined how MBA degree programs give opportunities to employees to land in their dream jobs or to be considered for promotion. Their study resulted in a positive outlook for employees as MBA degree programs enhance their performance and they are motivated to perform well in their field.

Further, in the study of Fajardo-Atian (2020), young professionals are driven to enroll in a graduate degree program for their professional growth. Additionally, they view that having a higher education degree will give them better opportunities for promotion and better employment.

Given that young professionals view that a graduate degree program will be beneficial for them, their role in the circular flow of income will be improved because their spending power will be increased due to salary differentials or adjustments.

Level of Higher Education

The exploration of higher education levels among Filipino professionals demonstrates a significant uptrend in enrollment in advanced degree programs, highlighting a strategic advancement towards higher skill levels and qualifications. The relationship between higher educational attainment and improved economic outcomes is evident, with increased educational qualifications correlating with higher income and job security (Miguel et al., 2022). This suggests that the pursuit of higher education serves both as a response to competitive job market demands and as a proactive approach to career and economic stability.

Prettner and Schaefer (2020) note that higher education contributes to the evolution of income inequality, initially driven by wealth accumulation but increasingly influenced by educational investments as individuals ascend income brackets. This shows a pattern wherein, over time, higher education serves as an incentive for social and economic mobility, possibly even among the economically disadvantaged and middle class.

Brown (2003) stated that educational credentials are key factors in order to obtain a higher salary as he believed that the more that a person gains knowledge, the more the person earns. Moreover, in the study of Shendel and McCowan (2016), higher education is seen to be the driving force to the development of the economy in the macro level by strengthening public services and improving the growth of the economy.

Further supporting this, Miguel et al. (2018) highlight that investing in human capital, particularly through higher education, is a crucial strategy for accelerating economic growth and achieving inclusive growth, as emphasized by Canlas (2016). The decision to invest in higher education, hence, reflects a critical strategy for long-term economic resilience and advancement.

Additionally, the study of Maneejuk and Yamaka (2021) showed an increased interest in the role of human capital in the growth of an economy. They view education as a marker of human capital, however greater emphasis has recently been placed on higher education levels in research. Based on further studies, obtaining a higher education gives every country a competitive advantage, which is essential for economic growth.

Therefore, higher education significantly enhances the skills and financial capabilities of Filipino professionals, promoting individual prosperity and contributing to broader national economic growth. Much to add, the findings underscore the importance of supportive policies and ongoing research into the complex interplay between education and economic outcomes.

Circular Flow of Income in the Philippines

This study provides insights into how the circular flow of income is impacted by the educational attainment of Filipino professionals. Those with higher education play a crucial role in stimulating the economy through increased consumption, savings, and investments. They demonstrate advanced financial literacy, engaging in diversified economic activities and sophisticated investments that produce a multiplier effect, enhancing overall economic activity (Suhendra et al., 2020).

Circular flow of income model is used as a measurement to the income of a certain nation. Cleaver (2013) noted in his study that the sectors in the circular flow of income have two roles in the economy - giver and receiver. One makes the payment and the other one receives it.

Maharjan (2018) underscores the utility of the circular flow of income model in illustrating the intricate movements of economic value within an economy, a sentiment echoed by Raworth (2017) who highlights its role in delineating essential macroeconomic concepts. According to Capa et al. (2023), this model also vividly depicts the exchange flows among households, businesses, government institutions, and foreign sectors, which are pivotal to understanding market dynamics. Hall & Klitgaard (2018) emphasize that the value of these exchanges is critical, as they consist of goods and services that hold perceived value and can be monetized.

The World Social Report (2020) and Qazi et al. (2018) suggest that income disparities significantly shape household consumption patterns, where greater inequality often restricts spending to basic necessities, limiting discretionary spending. Meaning, the active participation of educated professionals in the economy not only advances their financial status but also solidifies the national economy's structure. The study reaffirms the pivotal role of higher education in strengthening economic dynamics and underscores the necessity for policies that

encourage educational advancement among professionals to ensure sustained economic robustness and equitable growth.

Output Based Teaching and Learning (OBTL) and Outcomes-Based Education (OBE) Curriculum

In Micabalo et al.'s (2020) study, it examined the outcomes of MBA programs especially when it comes to how it can be best applied in business and management practices. The study shows that even though MBA students are supposed to improve the circular flow income by being creative and starting their own businesses, these goals need to be more strongly integrated into everyday life. Introducing an OBTL curriculum would both help students and the Philippine economy in terms of its impact in the circular flow of income.

Additionally, Iringan and Bansig (2019), assessed the implementation of Outcomes-Based Education (OBE) in the Graduate Level of St. Paul University Philippines. In the study, students from both masteral and doctoral programs rated the implementation of such curriculum as very high. This means that the instructional design, assessment strategies and learning activities were accepted and they found it meaningful and relevant which helped them hone their skills and competencies.

Further, OBE aims for the development of the skills, talents and competencies of the students, thus, faculty members, as well as the students, play a crucial role in the success of implementation of OBE curriculum. It necessitates that the implementers should fully understand the contents of the curriculum and ensure the active participation of students. (De Guzman et. al., 2017). Further, Asim et. al. (2021) emphasized that OBE is necessary for all students as this organizes everything around the educational system and it focuses on what students should do at the end of their learning.

Implementing an Output Based Teaching and Learning (OBTL) curriculum in higher education programs will help students be equipped with skills needed for them to put up their own businesses or to be business leaders. Through this, their role in the circular flow of income will be improved and they will help in the betterment of the economy of the Philippines.

Conclusion

In conclusion, this research is able to explain the profound relationship of higher education on Filipino professionals' economic participation, emphasizing the circular flow of income in the Philippine setting. The findings reveal that graduate degrees, such as MBAs, not only enhance individual career prospects and financial stability but also play a pivotal role in economic dynamics by fostering increased consumption, savings, and investments. Higher educational attainment correlates with elevated income levels, job security, and socio-economic mobility, contributing to a more robust national economy. The study underscores the significance of educational investments and policies that support academic advancements, which in turn

stimulate economic growth and equitable distribution of wealth. The introduction of an Outcomes-Based Education (OBE) and Output-Based Teaching and Learning (OBTL) curriculum further optimizes this effect by equipping students with essential skills for business leadership and entrepreneurship, thus reinforcing the role of educated professionals in enhancing the circular flow of income and ensuring sustainable economic development.

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